

REPORT OF THE

PUBLIC ACCOUNTS COMMITTEE ON THE FINDINGS BY THE AUDITOR GENERAL ON APPROPRIATION AND FUND ACCOUNTS FOR THE MINISTRY OF LANDS, AGRICULTURE, FISHERIES, WATER AND RURAL DEVELOPMENT, FOR THE YEARS ENDED DECEMBER 31, 2022 AND 2023

SECOND SESSION – TENTH PARLIAMENT

Presented to Parliament in ……., 2026.

[S.C 65;2025]

On Tuesday, 28 October 2025, Mr Speaker announced that the Public Accounts Committee would consist of the following Members:

1. Hon. Bvute Ozias
2. Hon. Chiduwa C
3. Hon. Chidziva H
4. Hon. Chiwanza C
5. Hon. Dhliwayo L
6. Hon. Hlatywayo C
7. Hon. Hwende C
8. Hon. Kademaunga M
9. Hon. Kangausaru P
10. Hon. Maburutse
11. Hon. Makombe J
12. Hon. Makuvire J
13. Hon. Mangondo N
14. Hon. Maposa W
15. Hon. Masvisvi D
16. Hon. Matewu C **(Chairperson)**
17. Hon. Mudumi B
18. Hon. Mugwadi T
19. Hon. Mukomberi T
20. Hon. Mukugunugwa
21. Hon. Mureyani S
22. Hon. Mushoriwa E
23. Hon. Mutodi Dr. E
24. Hon. Mutokonyi V
25. Hon. Mutseyami
26. Hon. Ndudzo P
27. Hon. Njanji M
28. Hon. Nkani A
29. Hon. Nyamupinga B
30. Hon. Sithole G. K
31. Hon. Tsvangirai R
32. Hon. Ziyambi K. M.

Terms of Reference of the Public Accounts Committee -

Standing Order No. 17:

"There must be a Committee on Public Accounts to examine the sums granted by Parliament to meet public expenditure and of such other accounts laid before Parliament as the committee may think fit."

1. INTRODUCTION

The Public Accounts Committee is tasked with overseeing the accountability and responsible use of public resources within government ministries. As part of its constitutional mandate, the Committee analysed the Auditor-General's findings for the Ministry of Lands, Agriculture, Fisheries, Water and Rural Development for the fiscal years 2022 and 2023. Given the Ministry's critical role and the substantial public investment involved, the Ministry's financial conduct is of significant national interest.

2. METHODOLOGY

Following the audit findings, the Committee convened hearings with senior officials from the Ministry of Lands, Agriculture, Fisheries, Water, and Rural Development to seek clarification on certain issues. Professor Jiri, Permanent Secretary of the Ministry, headed the delegation. The Committee also considered written submissions, which informed the compilation of this Report.

3. FINDINGS

3.1 Direct Payments

The Committee noted the observation by the Auditor General that Treasury made direct foreign currency payments to service providers on behalf of the Ministry amounting to US$272 141 221 during the year under review. However, the transactions were not recognized in the respective PFMS and financial statements owing to lack of documentary evidence from Treasury. The transactions have remained unaccounted for in the Ministry's financial records.

The Ministry officials informed the Committee that direct payments are payments made straight to the vendor or supplier by Treasury on behalf of Ministries Departments and Agencies (MDAs), with the funds not passing through MDA's books.
The Committee learnt that the Ministry had identified and cleared **US$ 266 363 053.43** direct payments. This translated to 98% of the direct payments. The other 2%, amounting to **US$ 5,778,167.57** had been identified was waiting for Treasury to release documentation. The officials informed the Committee that during this financial year, the Ministry had to release documentation proactively

However, this current financial year, the Ministry had proactively engaged Treasury to avail direct payments made monthly so that the expenditure is recorded promptly in the system. Monthly engagements were being done with Treasury to address the anomaly.

Committee Observation

1. There is a lack of communication between the Ministry and Treasury as it relates to direct payments, resulting in the Ministry's total expenditure for the year under review being materially understated.

Committee Recommendation

1. Going forward, the Ministry of Finance, Economic Development, and Investment Promotion must desist from making direct payments.

3.2 Salary and Wages in Kind

The Ministry's salaries and wages in kind ledger disclosed a nil balance, despite fifty-eight (58) officers being paid part of their benefits in kind, amounting to US$672,768 (420,480 litres at US$1.60 per litre) as fuel allowance and communication allowance, totalling ZWL$34,021,974. These compensation costs for employees, which were charged to the goods and services ledgers, were supposed to be disclosed under salaries and wages in kind.

The Committee learnt that the conditions of service benefits in kind, like fuel and airtime for Deputy Director grade and above, should be recognised as employee benefits and recorded as a salary in kind. As was the tradition, the salaries and wages in kind were recognised as operational costs under goods and services. Through the Public Finance Management Reforms initiative, the revised Chart of Accounts now requires that salaries and wages in kind be recognised as part of employment costs. The Ministry had resolved the issue in retrospect by means of journals. The expenditure was transferred to the respective codes of salaries and wages in kind. Fuel and airtime were now being recognised in compliance with the revised Chart of Accounts.

Committee Observation

1. The Ministry did not adhere to Generally Accepted Accounting Practice (GAP) as prescribed in the PFMA Section 37. However, the issue was resolved.

3.3 Unallocated Reserve Transfers

There was an unreconciled variance of $399,790,030.00 between the Unallocated Reserve Transfers disclosed in the Appropriation Account of ZWL$2,200,660,453,518.00 and the amounts provided in the Treasury schedule, which has a balance of ZWL$2,200,260,663,488.00.

The Ministry submitted that the figures disclosed were different due to miscommunication between the Ministry and the Treasury. The Committee learnt that the Ministry had not received some of the Unallocated Reserve Transfers letters from Treasury. Reconciliations were made based on the letters the Ministry had received from Treasury and was not aware of the other letters which were in transit. The Ministry had engaged Treasury on the matter to ascertain the correct position, and the Ministry's records had been amended accordingly. Monthly Unallocated Reserve reconciliations and engagements with Treasury were now being done.

Committee Observations

1. There was miscommunication between Treasury and the Ministry.
2. The Ministry did not follow Treasury Instructions.

Committee Recommendation

1. The Ministry must fully adhere to Section 29(4)(d) of the Public Finance Management (Treasury Instructions), 2019, by implementing internal checks that strengthen its internal financial reconciliation processes with Treasury, ensuring that variances are identified and corrected in real time rather than at the end of the financial year.

3.4 Risk Assessment

The Ministry did not perform an annual risk assessment in line with Section (162) of Public Finance Management (Treasury Instruction), 2019, which requires Accounting Officers to identify, quantify, assess and come up with mitigation measures for the risks identified and maintain complete records and related documents on the risks identified.

The Ministry officials submitted that they had engaged a consultant through the Ministry of Finance, Economic Development, and Investment Promotion to help in formulating a risk framework, which was expected to be in place by the end of 2025.

Committee Observation

1. The Ministry has been operating without a risk assessment framework.

Committee Recommendation

1. The Ministry should finalise the risk assessment framework by 31 December 2025 to enhance compliance with Section 162 of the Public Finance Management (Treasury Instruction), 2019 and improve governance oversight.

3.5 Misappropriation of Government Resources

The audit revealed significant instances of misappropriation of inputs from the Pfumvudza/Intwasa or Presidential Programme, which stemmed from inadequate internal controls at various distribution centres, particularly in Nyika District, Masvingo Province, and Mashonaland Central Province. Furthermore, internal audit reports highlighted issues involving Agritex Officers in Makonde District, Mashonaland West Province, who improperly distributed inputs and irrigation equipment to individuals lacking legitimate farms. Some recipients procured inputs through fraudulent registration of non-existent farms, mainly due to insufficient supervisory controls that failed to enforce compliance with established distribution procedures.

Ministry of Lands, Agriculture, Fisheries, Water, and Rural Development Accounting Officer informed the Committee that in the Masvingo, Nyika case, a disciplinary hearing was conducted by the board of investigation. The determination was that the officers involved should reimburse the resources. The reimbursement was being done through a stop order system (SSB). However, the final judgement was released after one of the officers involved had passed on. In the Mashonaland West, Makonde case, investigations by ZACC were underway. In the Masvingo case, the involved officer was reimbursing the resources from his salary in installments through an SSB stop order. As for the Mashonaland West, Makonde case, the case was reported to the police. The officer was arrested and was at that time attending court.

Committee Observation

1. The Ministry does not have a proper internal control system in the selection and distribution of inputs. As such the current checks and balances were prone to abuse and corruption.

Committee Recommendations

1. By 31 March 2026, the Ministry should have carried out a thorough review of the current system and start to implement Digital Tracking Systems by rolling out the e-input distribution mechanism that will allow real-time monitoring to plug leakages of Government resources during the distribution of inputs.
2. ZAAC must provide a comprehensive update, within three months of adoption of this Report, on the status of all cases referred by the Ministry.

3.6 Delivery of Assets

The Policy and Administration Department bought assets during the period November 30 to December 28, 2023 which include seven (7) desks for ZWL$143 701 688; seven (7) chairs for ZWL$41 941 457; seven (7) laptops for ZWL$90 444 570; one (1) cell phones for ZWL$4 788 662 and 1 voice recorder for ZWL$6 525 000 from various service providers. However, at the time of concluding the audit on May 10, 2024, the items had not yet been delivered.

The Committee was informed that the challenge in procuring assets arose from the hyperinflationary environment where suppliers demanded payment upfront before delivery. Suppliers would then often fail to receive foreign currency allocations from the RBZ to acquire some items which were supposed to be imported.

The Officials submitted that the financial loss incurred during the period under review resulted from payments made at a later date than the quoted date, and due to exchange rate fluctuations, the funds were insufficient to cover the goods procured. The late disbursement of cash affected the procurement process. Some suppliers were supplying goods equivalent to the funds received as an option, with the Ministry's approval, while others were supplying less.

Committee observation

1. Contract management was poor, as there were no measures put in the contract to protect the Ministry.

Committee recommendations

1. In future, the Ministry must ensure full compliance with Section 79 of the Public Procurement and Disposal of Public Assets Act [Chapter 22:23], establishing robust contract management procedures to enhance transparency and accountability in procurement.
2. The Ministry's legal department should expedite resolution of the matter and provide a comprehensive update to the Committee by 30 April 2026, detailing actions taken, legal proceedings, and measures to prevent future occurrences.

3.7 Maintenance of Tractor Records

The Mechanisation Department received 1,327 tractors, distributing 1,246 to farmers and government institutions, leaving a balance of 81 tractors. However, an audit revealed only 261 tractors were physically counted at the Ministry's yard. The discrepancy was attributed to institutions like the Agricultural Finance Corporation, Rural Infrastructure Development Agency, and the City of Harare not collecting their assigned tractors. Additionally, there was confusion among officials regarding the identification of tractors awaiting collection versus those remaining in stock for sale, a

situation exacerbated by poor record-keeping. Furthermore, the audit indicated the absence of delivery notes or issue vouchers from the supplier during the equipment handover.

The Committee established that previously, tractors were gathered, logged, and listed as inventory on site. However, this problem had been addressed, and the Ministry was now securing delivery notes from vendors. The Committee was further informed that the position regarding the maintenance of records at that time was that tractor records were maintained in the inventory book as trading stock. Purchased tractors awaiting delivery were now being separated and identifiable.

Committee observation

1. Although the situation improved, there was no proper inventory management system, and the Management was falling short of their expectations of putting in proper internal control systems.

Committee Recommendation

1. The Ministry should establish a digital asset management system with unique identification codes for each tractor, ensuring clear differentiation between those awaiting collection and those designated for sale, by 31 March 2026.

3.8 Delivery of Motor vehicles

The Department of Surveyor General paid ZWL$116 974 107 for three motor vehicles to Mike Harris P/L, but as of May 2024, none had been delivered. Similarly, the Veterinary Department paid ZWL$203,844,148 for four vehicles in May 2023, but by May 15, 2024, no vehicles had been received. The audit could not verify the contract terms with Mike Harris, as the actual contract was not provided. Additionally, the Veterinary Field Services contracted Paza Buster to purchase an Isuzu D-Max 2.5 double cab but received two single cabs instead. The audit did not receive any documentation regarding this contract variation.

The Committee learnt that after receipt of payment from the Ministry, the Mike Harris encountered difficulties in securing foreign currency through the RBZ auction system which was required for the importation of the vehicles. Regrettably, the supplier constantly reported that forex allocation issue on the floor hindered their ability to fulfil the delivery obligation.

Following the prolonged delay in vehicle delivery and significant changes in exchange rates and currency, the supplier declared that fulfilling the original contract was no longer economically viable. Currently, there were negotiations involving the supplier and the Ministry seeking legal advice to resolve the impasse and determine the best course of action.

Committee observation

1. There was poor contract management in violation of the Public Procurement and Disposal of Public Assets Act [Chapter 22:23], which could result in potential loss for the Ministry.

Committee recommendations

1. To address contract mismanagement and procurement inefficiencies, the Ministry must enforce strict adherence to Section 78(2)(h) and Section 81(2) of the Public Procurement and Disposal of Public Assets Act [Chapter 22:23], ensuring all future contracts clearly outline delivery timelines, payment terms, and conditions for modifications to prevent unauthorized contract variations.

2. The Ministry should ensure that future procurement contracts require proof of financial capacity and forex accessibility from suppliers before awarding contracts, reducing reliance on Reserve Bank foreign currency allocations and minimizing delivery failures.

3.9 Outstanding Revenue

For the second year running, the audit could not validate the authenticity of the outstanding revenue amounting to ZWL$2 624 624 225 disclosed on the return submitted for audit due to the fact that the database and the invoicing system of farmers allocated land were not up to date.

The Committee found that the Ministry primarily relied on manual invoices and receipt books for updating the financial records of A2 farmers. Although outstanding revenue was based on issued invoices, collections faced challenges due to limited manpower, financial constraints, and farmers' hesitance to pay land rentals. Most of the revenue was collected directly at farms; however, logistical issues hindered the Ministry's ability to effectively cover all invoiced locations.

To improve revenue tracking, the Ministry began filling vacant district accountant positions, with 16 out of 44 approved accountants now in duty as of 25 October 2024. Furthermore, the Ministry was in the process of acquiring the Land Management Information System, an electronic platform aimed at enhancing record-keeping, efficiency in revenue collection, and financial transparency.

Committee observations

1. There was a shortage of manpower to assist the Ministry with data capturing and other necessary administrative work.
2. There was no proper accounting system or record of farmers, and no follow-up on revenue collections, which could lead to a significant loss of revenue for the government.

Committee recommendations

1. The Ministry should accelerate the procurement and deployment of the Land Management Information System to ensure efficient revenue tracking, invoicing, and record management by 30 April 2026.
2. The Ministry must prioritize filling in the remaining vacant district accountant posts while providing training and additional support to enhance revenue management efficiency to the accountants, by 30 April 2026.

3.10 Lands Compensation Fund Trade and Other Payables

The Fund did not maintain ledgers for payables in respect of Farmers' compensation. In addition, supporting documentation, such as valuation reports that are used to establish the value of the acquired farms and determine the outstanding liabilities, were not availed for audit. Audit, therefore, could not validate the accuracy of the payables amount of ZWL$ 2 344 195 016 181 disclosed in the financial statements.

The Ministry officials submitted that the current outstanding payable compensation balance stood at US$3,490,668,579, primarily related to the Global Compensation Deed (GCD), after accounting for interim relief payments. These payments were currently held in a suspense account pending the adoption of itemized values for former farm owners. Apart from the GCD, all other former farm owners possess detailed files containing inventory, communications, approved values from the Land Compensation Committee, and consent for the respective values along with their banking information. To manage interim payments effectively and prevent exceeding the eventual approved valuations, the Government had proposed a compensation payment plan over ten years. The Valcom

Consortium had initiated the process of presenting valuation proposals to the Land Compensation Committee starting September 2024, with the first group of former farmers nearing consent on the committee-adopted values. Once finalized, accounting would proceed, and henceforth, no further interim relief payments will be made.

Committee observations

1. The Fund failed to maintain proper financial records for farmers' compensation, violating Section 35(6)(a) of the Public Finance Management Act [Chapter 22:19]. The absence of ledgers and valuation reports raises concerns about transparency, accountability, and the accuracy of disclosed payables.
2. The continued reliance on manual record-keeping systems, despite known shortcomings, reflected an inadequate commitment to financial governance reforms.

Committee Recommendations

1. The Ministry must establish and maintain detailed ledgers for all payables to enhance financial oversight and accuracy by 31 March 2026.
2. The Ministry should implement regular audits and reconciliation processes to ensure that compensation figures are correctly documented, preventing future discrepancies, by 31 March 2026.

3.11 Lands Compensation Fund Maintenance of Records

The Fund did not maintain accounting ledgers for all account balances disclosed in the financial statements, contrary to the provision of Section 119 (2) of the Public Finance Management (Treasury Instructions), 2019, which prescribes the minimum books to be maintained. As a result, the audit could not validate the completeness and accuracy of the revenue and receivables figures of ZWL$1 202 799 004 and ZWL$1 853 692 445 respectively which were disclosed in the financial statements for the year under review.

The Committee learnt that revenue and receivables were being accounted for through manual receipt and invoice books throughout the eight (8) provincial and Harare offices.

Reported revenue figures were well accounted for, but the Ministry could not produce ledgers for other farmers, which it did not manage to invoice. This was due to the non-availability of accountants at district offices and the non-availability of a suitable computer accounting system.

However, district accountants recruited in 2024 were maintaining records for their respective districts. In addition, the Ministry was in the process of procuring the Palladium Accounting System that is compatible with geo-spatial data.

Committee Observation

The Committee observed that the Fund failed to maintain proper accounting ledgers, contrary to Section 119(2) of the Public Finance Management (Treasury Instructions), 2019. This deficiency

hindered the validation of revenue and receivables by the Auditor General, raising concerns over financial transparency and accountability.

Committee Recommendations

1. By 30 April 2026, the Ministry must establish proper ledgers for all financial transactions, ensuring alignment with Section 119(2) of the Treasury Instructions to prevent future reporting gaps.
2. By 30 April 2026, the Palladium Accounting System should be in place to enhance record-keeping, accuracy, and accountability in revenue management.
3. In future, Treasury must withhold some of the Ministry's quarterly disbursements until digital revenue systems are operational.

3.12 Lands and Resettlement Fund Maintenance of Accounting Records

The Fund administrators did not maintain accounting records such as sales and debtor's ledgers to account for revenue and receivables. As a result, the Auditor could not validate the completeness and accuracy of the revenue and receivables figures of ZWL$ 218 657 121 and ZWL$ 305 867 794, respectively, which were disclosed in the financial statements for the year under review.

The Ministry indicated that it utilized manual receipt and invoice books to update sub-collector schedules and ledgers for A2 Farmers, with primary receipting offices located in eight provinces and Harare. Each provincial office was staffed with two accountants, and records were kept using Excel. The high outstanding revenue was attributed to limited human and financial resources, alongside farmers' reluctance to fulfil land rental payments. Revenue collection mostly occured on-site at farms, and these challenges had hindered full coverage of invoiced sites. The Ministry was filling district accountant positions to better track and update outstanding revenue, with 16 of the 44 appointed accountants currently in position as of 25 October 2024. Additionally, it was noted that the Fund was closed in 2024.

Committee Observation

1. The Committee expresses grave concern over the Fund's complete lack of basic accounting controls, which enabled the operation of public funds without verifiable records. This represented a fundamental failure in fiduciary responsibility and created significant risk of financial malfeasance.

Committee Recommendations

1. By 31 March 2026, the Ministry must establish proper ledgers for all financial transactions, ensuring alignment with Section 119(2) of the Treasury Instructions to prevent future reporting gaps.
2. By 31 March 2026, the Palladium Accounting System should be in place to enhance record-keeping, accuracy, and accountability in revenue management.
3. Notwithstanding the Fund's closure, the Auditor General must carry out a special audit on the Fund by 30 June 2026.

3.13 Pig Levy Fund Accounts Receivable

The accounts receivable balance increased by 45% from the previous year's amount of ZWL$1 565 583 to ZWL$2 274 982. There was no evidence that follow-ups were made to recover the outstanding amounts.

The Ministry officials informed the Committee the fund had been established to provide for the imposition and collection of levies on pigs produced in Zimbabwe and to provide for the development of the Pig Industry in Zimbabwe and for matters incidental thereto. The fee payable for the period 2022 was ZWL$25 per pig slaughtered. The fee had been increased from ZWL$ 25 to the equivalent of USD1 beginning 1 July 2023 as provided for in the SI 121 of 2023. The levy was collected by abattoirs, which remit it to the Ministry (Levy Administrator) for onward disbursement to the Pig Industry Board.

The Ministry had engaged with the abattoirs to enforce compliance. Non-compliance by abattoirs would trigger suspension. The administrator had increased follow-ups, but the only hindrance was the availability of resources, such as transport for enforcement. The Ministry indicated that the Pig Industry Board would enforce compliance and collection.

Committee Observations

1. Even though non-compliant abattoirs face suspension, the Ministry lacked a comprehensive strategy to ensure timely payments and prevent revenue losses.
2. The 45% growth in uncollected levies demonstrated willful non-compliance by abattoirs and inadequate enforcement by the Ministry. This failure deprived the pig industry of critical development funds.

Committee Recommendations

1. By 31 March 2026, the Ministry should establish structured monitoring and enforcement frameworks, ensuring abattoirs remit levies on time and are held accountable through stricter penalties for delayed payments.
2. The Ministry must prioritize systematic follow-ups by leveraging digital tracking tools and regional enforcement teams to improve revenue collection efficiency by 31 March 2026.

4.0 Conclusion

This Report highlights areas that require urgent attention to strengthen public financial management and enhance accountability, and presents an opportunity for the Ministry to implement meaningful reforms. The Public Accounts Committee remains committed to working collaboratively with all stakeholders to promote transparency, uphold the principles of good governance, and ensure that public resources are managed effectively in support of national development. With strengthened oversight and continued institutional improvement, the Ministry of Lands, Agriculture, Fisheries, Water and Rural Development can play a pivotal role in advancing Zimbabwe's economic and food security objectives.